BEFORE THE TAMIL NADU REAL ESTATE REGULATORY AUTHORITY (TNRERA)
(Tamil Nadu, Andaman & Nicobar Islands)
at Egmore, Chennai – 600 008
[Under the Real Estate (Regulation and Development) Act, 2016]

C.No.166/2021

27th day of April, 2022

Coram : Thiru K. Gnanadesikan, I.A.S. (Retired), Chairperson
Er. S. Manohar, Member
Adv. V. Jeyakumar, Member

Tejomaya Owners Association Represented by its President Thiru Baskaran Manikam	]]]	Complainant

Versus

M/s. Emami Realty Ltd. Represented by Vice President Thiru Pradeep Chhotaria	]]]	Respondent

This Complaint came up for final hearing before this Authority in the presence of M/s.Rajeni Associates, S.Rajeni Ramadoss, Mothi Chandrika' Vijayalakshmi and Mr.M.Naresh Babu – Counsel for Complainant and of M/s. Rank Associates – Counsel for Respondent and upon hearing the arguments of both the parties, this Authority passes the following order:

FINAL ORDER

The Complainant Association has submitted in the Complaint that it is a Resident Welfare Association (RWA) registered under Section 10 of the Tamil Nadu Societies Registration Act, 1975 on 01.10.2020 with SI No.SRG/Chengalpattu/150/2020.

2. The Complainant Association has further submitted that the Respondent had entered into a Development Agreement dated 31.03.2014 with the landowner and formulated a scheme for developing the said land which is earmarked for the purpose of building a residential project comprising three towers known as Tower ABC of twenty seven (27) floors each and one tower of eleven (11) floors known as Tower-E under economically weaker section (EWS) with amenities and facilities. The Complainant Association has also stated that the Respondent had also registered the project under the provisions of the Real Estate (Regulation and Development) Act, 2016 with the Real Estate Regulatory Authority at Chennai on 01.09.2019 under Registration No.TN/01/Building/0047/2017.

3. The Complainant Association has further submitted that the sale and purchase of the property in this project was done by way of a standard Sale Deed and Construction Agreement with two different dates, one executed at the time of payment of initial deposit and another at the time of registering the Sale Deed and Construction Agreement with Sub Registrar, Thiruporur. The Complainant has also stated that a delayed vacant possession was provided to the Allottees of Tower-E approximately in March 2019 and a delayed vacant possession was provided to the

Allottees of Tower-ABC through their letter of intimation dated 15.11.2019. The Respondent had failed and/or neglected to deliver vacant possession and the Allottees are seeking declaration that there was indeed a delay in vacant possession in relation to both Tower-E and Tower-ABC.

4. Regarding the claim of Common Area Maintenance charges (CAM), the Complainant Association has contended that the Respondent through their marketing employees to which Respondent is vicariously liable had made direct representation that the CAM charges on providing the vacant possession of the property will be fixed at the rate of Rs.2/- per sq.ft. for a period of two years. This was reflected very clearly in the Respondent's Allotment letter's Annexure as Advance Maintenance Deposit of Rs.2/- per sq.ft. x 24 months = Rs.48/- per sq.ft. The CAM charges for the total period of two years was collected in advance and termed as "Advance Maintenance Deposit". A clear representation was made by the Respondent that there will be no additional CAM charges for this period of time.

5. The Complainant Association has further submitted that believing the "invitation to trade" to be true and genuine, many Allottees purchased the property but just shortly after the delivery of the vacant possession namely with effect from 01.01.2020, the Respondent started to claim CAM charges at the rate of Rs.2.85 per sq.ft. plus GST amounting to a total of Rs.3.36 per sq.ft. on the ground that the costs of materials/living had increased considerably although the Respondent was fully aware of the situation when selling the property with the same representation until end of 2019. The Complainant Association has also submitted that despite this

being the case, the Respondent continuously sending invoices on a monthly basis demanding for the unlawful increased CAM charges causing additional pressure and stress to the Allottees. In addition to the above, the Respondent was and still refusing to provide handover to the Complainant without the outstanding increased CAM charges being paid by the aggrieved owners.

6. The Complainant Association has further submitted that the Respondent also took full control of the FMS Company namely Collector International which was purely appointed by them. Being under their control, the FMS Company is not allowed to address any problem raised by the Complainant or Allottee without first obtaining approval from the Respondent. This situation is really frustrating considering that the FMS is paid by the Allottees through their advance maintenance deposit, but the FMS Company had and still staying under the clutches of the Respondent.

7. The Complainant Association has also submitted that pursuant to Clause 6(e) of the Construction Agreement, the Respondent committed that they would render their co-operation and facilitation in the formation of the Resident Welfare Association. Although Tamil Nadu Apartment Ownership Act, 1994 requires the Respondent to provide facilitation within three months from the date of delivery of vacant possession namely 15.11.2019 expiring on 14.02.2020 but the call for the election of Association members was not done until 08.03.2020. Perhaps the election was only conducted after repeated requests and demands from a group of Allottees.

8. The Complainant Association has also stated that till date, the Respondent has refused to provide handover on the pretext that majority of the Allottees refused to pay the increased CAM charges demanded by the Respondent which in true sense against their own representation, documentary undertaking and the concept of "invitation to trade". The failure and/or neglect of the Respondent in providing handover had disabled the registered Complainant from functioning fruitfully and serve the community as desired by the owners. Apart from that the residents had to put up with the appalling maintenance services provided by the Respondent despite the Allottees investing a huge sum of money in this project and expecting a decent standard of living.

9. The Complainant Association has stated in the Complaint that the following amenities were clearly promised under the Construction Agreement and their brochures either not ready or missing.

Not Ready:

i. Infinity pool and kids' pool on podium level.
ii. Steam & Sauna
iii. Jacuzzi
iv. Children's wet play area
v. Children's play area
vi. Proper surveillance systems connected to each tower. In this respect, the Respondent only provided six (6) CCTV cameras for Tower-E and forty three (43) cameras for Tower ABC though the whole project is huge (560000sq.ft.) with one tower of 11 floors and 3 towers with 27 floors

each. It is now a matter for the Authority to decide whether forty-nine (49) cameras for the size of this project amounts to a "proper surveillance systems". It is to be noted that none of the lifts were also covered with CCTV as per the requirement of law. In addition to that there were no provisions for tele-communication, WIFI, access cards, poor lighting and etc. which also consist of "surveillance systems". This is in further contradiction to their undertaking that they would provide 3 tier securities which includes proper CCTV coverage throughout the project including the car park basements.

vii. Adequate firefighting and prevention systems as per norms of and recommendation of Tamil Nadu fire & Rescue Service Department. There are at least two parking slots whereby the car is parked in front of the fire-hydrants. When challenged, the Respondent had deceptively stated that they had approval from the relevant authorities including Fire Department. When a copy of the approval is sought, the Respondent stated that as friendly gesture, they will shirt the fire-hydrants to a different location, but no works have taken place until today endangering the safety of the Allottees at large in case of an emergency.

Missing:

viii. Sports arena for indoor games. When enquired about this particular amenity, the Respondent had gone silent and refused to make any commitment;

ix. Gate at Tower-E entrance towards OMR

x. Gate at the end of Tower-C and

xi. Convenience retails stores. Though a provision for this facility/amenity is made available but the Respondent is claiming ownership of this space labeling it as commercial unit and worst still intending to sell to a third party depriving the Complainant of it being a part of the common area and generating income there from.

10. The Complainant Association has further submitted that pursuant to Clause 5(b)(1) of the Construction Agreement, the Respondent shall be considered to be in default if they fail to provide ready to move in possession of the Apartment. For the purpose of this Clause, ready to move in possession shall mean that the apartment shall be in a habitable condition which is complete in all respects.

11. The Complainant Association has also stated that it is the understanding of the Complainant that the Respondent had failed to obtain Environmental Clearance Certificate in respect of two upper floors (10th & 11th floors) of Tower-E. The Respondent only obtained permission to construct nine (9) floors in Tower-E. However, a further application was

made to increase two (2) additional floors and it is admittedly by the Respondent that no Environmental Clearance Certificate has been issued in respect of both the additional floors till date. Also the Complainant has submitted that during raining including the cyclone, majority of the Allottees had suffered from water seeping into their premises through the edges of glass walls and windowpanes causing damages to their property. In few houses, the frame holding the glass gave up causing extreme distress to the concerned Allottees. It is an unfortunate fate of the residents of Tower-E whereby they had to put up with the rainwater flooding the lift lobby of each floors of Tower-E from the date of occupancy in March 2019. As there is no drainage provision in that area, the water stands stagnant causing humongous problems to the residents, also damaging their property. Further the Complainant has stated from their observation at this stage that there are a number of structural defects in the building. Also the Respondent during the allocation of parking to the Allottees had exercised unfairness, favoritism, and unreasonableness. The Complainant has also stated that the Respondent arbitrarily denies the Allottees of the visitors' parking which is essential and crucial for an apartment lifestyle.

12. The Complainant has further stated regarding GST reduction for EWS category that the Allottees of Tower-E having bought a house under the category of EWS was not provided with the allowance of GST reduction of 8% as per the notification of MOHUA in 2018.

13. The Complainant Association has the sought the following reliefs:

i. An order that the registered Sale Deed and Construction Agreement to be read together with the Sale Deed and Construction Agreement initially executed.

ii. A Declaration that the Respondent had delivered late vacant possession of Tower-E and Tower ABC.

iii. A Declaration that the Respondent's claim for increased CAM charges is null and void.

iv. A Declaration that the Respondent had failed and neglected to facilitate the registration of the Complainant.

v. A specific Performance Order compelling the Respondent to provide handover within a specific period of time deemed fit by the Authority to the Complainant.

vi. A Specific Performance Order compelling the Respondent to provide all amenities as per the specification promised in the Brochures and Construction Agreement.

vii. A Specific Performance Order compelling the Respondent to provide all missing amenities mentioned in the Brochures and Construction Agreement namely those amenities stated in Paragraph 49 (viii), (ix), (x), (xi) of the Complaint.

viii. A Specific Performance Order compelling the Respondent to install additional CCTV cameras throughout the Apartment and the campus as a whole.

ix. A Specific Performance Order compelling the Respondent to shift the fire hydrants situated in car parking units to another safe location.

x. A Specific Performance Order compelling the Respondent to return GST ITC to the concerned Allottees within a stipulated time deemed fit by the Authority.

xi. A Specific Performance Order compelling the Respondent to obtain Environmental Clearance Certificate for Tower-E within a stipulated time deemed fit by the Authority. In the meantime, for the Respondent to provide an undertaking that they are responsible for any eventuality associated with environmental issues in Tower-E.

xii. A Specific Performance Order compelling the Respondent to pay maintenance charges for any unsold unit from the date of intimation of vacant possession until the unit is sold.

xiii. A Specific Performance Order compelling the Respondent to pay rentals for occupying common areas rightfully belonging to the Complainant as of 01.01.2021 until the date of vacating.

xiv. A Declaration that Clause 2(a)(3) is null and void to the extent that the Respondent will transfer the corpus fund without interest.

xv. A Specific Performance Order compelling the Respondent to transfer the corpus fund to the Complainant with all interest earned.

xvi. A Declaration that the purchase price of the property should be calculated based on carpet area and not built up area or super built area.

xvii. An order to revoke the Power of Attorney with immediate effect.

xviii. A Specific Performance Order to compel the Respondent to rectify the rainwater seepage problem in Tower ABC to a high standard and to put the rectification works to test to ensure the effectiveness of the rectification works.

xix. A Specific Performance Order to compel the Respondent to provide the Complainant with the guarantee and/or approval certificate in relation to the single glazing glass wall, windowpane, and the aluminum frame.

xx. A Specific Performance Order to compel the Respondent to erect yawning and/or a window on both sides of the lift lobby on every floor in Tower-E to stop the rainwater flooding..

xxi. A Specific Performance Order compelling the Respondent to provide latest Audited Building Structural Report by independent Building Structural Expert and rectify all defects with immediate effect to a high standard.

xxii. A Specific Performance Order compelling the Respondent to provide the Complainant with the parking allocation list and to rectify any wrong doing in the allocation by way of restoring the owner to their eligible parking unit.

xxiii. A Specific Performance Order compelling the Respondent to provide visitors' parking as per their drawing plan.

xxiv. A Specific Performance Order compelling the Respondent to close the gate erected, giving access to Phase-II compound with brick wall as per their drawing/plan.

xxv. A Declaration that Tower-E falls under the category of EWS as claimed and to provide 8% GST reduction to all eligible Allottees of Tower-E.

xxvi. An order of injunction to stop all works pertaining to Phase-II (the project named as "Emami Select") until reliefs sought herein is fully complied with by the Respondent.

xxvii. An order to restrain and/or detain any security/retainer amount placed with RERA by the Respondent until reliefs sought herein is fully complied with by the Respondent.

xxviii. An Order recommending initiation of appropriate criminal action against the responsible officers of the Respondent in Chennai with the Director General of Police, Tamil Nadu and the Commissioner of Police, Chennai.

Interim order prayer for:

An Order to restrain the Respondent from making any adjustment of their claim for increased CAM charges from GST, Input Tax Credit and/or corpus fund as the case may be. Respondent's email dated 16.04.2021 and Complainant's dated 17.04.2021 is referred in this respect.

14. In the Counter Affidavit the Respondent has submitted that the entire project Emami Tejomaya was conceptualized and designed as an integrated development to provide the best of amenities by using latest technology, with the help of the best construction company in India, namely L&T. The designs and amenities are at par with international standards. The Respondent has further submitted that the Complainant lacks bonafides and is liable to be dismissed. The process before this Authority cannot be misused as a platform to arm-twist and blackmail the Promoter who has delivered a quality project in the most difficult times. The Complaint has in no manner shown the violation or contravention of the provisions of the Act or the Rules and Regulations made there under. This being the basic requirement under Section 31 of the Act, the Complaint does not come within the purview of the said provision of law and cannot be entertained.

15. Further, the Respondent has submitted that the Complainant wants the Authority to act as a Civil Court, by assuming a jurisdiction which has not been conferred on it. The reliefs have been prayed in the form of Declarations, Specific Performance etc., which can be ordered only by a competent Civil Court. The Authority being a creation of special Statute can only function within the parameters of the said special Statute and cannot assume the jurisdiction of a Civil Court. Thus the complaint is outside the purview of the Real Estate (Regulation and Development) Act, 2016 and is liable to be dismissed.

16. In response to the Complaints, the Respondent has submitted regarding Tampering Sale Deed and Construction Agreement that even from the two construction agreements produced in Page 76 (incomplete document as only one page has been produced) and 78 it can be seen that both have only a fortnight between them. Certain agreements were prior to RERA Act coming into force and certain agreements were after the Registration of the Project under the Act and the format is as approved by the Authority.

17. Regarding delayed delivery of vacant possession, the Respondent has submitted that it is pertinent to point out that different buyers come forward to buy their flats at different points of time. Therefore, each one of the agreements contains clauses as would be governing the respective buyer. The agreements also come with a grace period and also 'Force Majeure' conditions. The scarcity of various construction materials, like sand and such other materials and construction labour should all be taken

into account. In any event the delay that is being complained is also not in any manner attributable to the Respondent. Further in the absence of specific details, a relief in the form of a general declaration cannot be granted.

18. In respect of Complaint No.3 regarding false claim of Common Area Maintenance (CAM) Charges, the Respondent has submitted that the Respondent had not represented at any point of time that the common maintenance charges would be a fixed sum of Rs.2/- per sq.ft. for a period of 24 months. On the other hand an advance deposit, calculated at the above rate alone has been collected as a matter of convenience. None of the documents executed by the Respondent have also mentioned that the said sum of Rs.2/-per sq ft is a fixed sum. The Respondent has also stated that forecasting actual cost of maintenance, for a long period of 2 years is impossible. The costs of diesel, inflation/escalation, taxes, price hikes, hike in minimum wages etc., are all unpredictable. Further the maintenance of such high rise buildings (Tower ABC of 27 Floors + 2 Basements and EWS of G+11 Floors) so many variables/dynamic costs are involved. Therefore only an advance deposit was taken initially and there was no promise or commitment given by the Respondent on the fixed nature of the CAM charges for a period of 2 years.

19. The Respondent also denies the allegation that on account of nonpayment of the difference in the CAM charges, the maintenance quality has been affected. On the contrary the entire maintenance is being undertaken by a reputed company known as 'Colliers international' which is

very experienced in the field. There are nearly 350 families which are staying in the complex and are enjoying their stay for over two years. The STP, WTP, housekeeping, security services, pest control, Electrical power, Power back up, Lifts are all in excellent conditions. All the above are well maintained by the renowned service providing company. The water quality parameters are also checked periodically.

20. Regarding Complaint 4 - failure to facilitate and/or assisting in the registration of the Resident Welfare Association, the Respondent has submitted that under the provisions of the Act as well as under the Agreement, the Respondent was only expected to render assistance/ facilitate formation, which was very much undertaken.

21. Regarding Complaint No.5 - refusal to provide handover, the Respondent has submitted that while the Respondent has called upon the Flat buyers to pay the difference of the CAM charges it had not shown the nonpayment to the difference in the CAM charges in any manner as connected to handing over. The Respondent has also stated that the allegation that they should have been provided with the handover on or before 31.12.2020 cannot be a cause for concern since the prevailing Pandemic condition was acting as a hindrance for taking up any such elaborate process. The reply given by the Respondent as early as 20.10.2020, had apart from expressing its keenness to smoothly handover at the earliest, had however pointed out the detailed process involved in assimilation and accumulation of data and documents across various departments and consultants, stationed at various locations.

22. Regarding Complaint No.6 - Promised amenities either not ready or missing, the Respondent has submitted that it had provided all the agreed amenities without any letup. The reference made to the brochure, which is only an artistic representation of the project, cannot be made as a pointer for non-availability. It is submitted that the infinity pool and kids' pool were in operation and all the occupants were using the same until the Pandemic SOP came into force. The FMS monthly maintenance records and pictures which are being filed herein which could go to show that the infinity pool, Kid's pool, steam and sauna, Jacuzzi, Children's wet play area, Children's play area and proper surveillance systems have all been made available and are very much operational.

23. In so far as the allegation relating to not providing sufficient surveillance systems, The Respondent has submitted that the Respondent has taken appropriate advice and guidance from people working in the said field, as well as security agencies before installing the required number of CCTV cameras. It is incorrect to state that the Respondent had promised to install cameras in the lifts and car parking. However cameras have been installed in other important areas like lift lobbies, exit and entry gates. All the 49 cameras and CCTV network are fully operational. Similarly the allegation regarding not providing adequate firefighting and prevention systems as per norms and recommendation of Tamil Nadu Fire and Rescue service department, the Respondent has stated that it had obtained the necessary NOC from the fire department and has followed all the norms required there for. The fire hydrants have been done according to the

approved drawings. As such the amenities have been provided according to the contract between the parties.

24. Regarding the alleged sports arena for indoor games is missing, the Respondent has submitted that the sports arena (Gym/Lawn for sports activity/multipurpose halls – 2 numbers) is very much in place and is operational. Similarly, the Respondent had not committed to provide any gate at Tower-E entrance. The claim for a gate at the end of Tower-C also cannot be done as per the approved/sanctioned plan.

25. The allegations relating to convenience retail stores, the Respondent has submitted that it is incorrect and the Respondent has followed and acted as per the sanctioned plan of DTCP authorities. According to the plan sanctioned by DTCP, the place where the convenience store is situated is commercial. Three more retail areas are there in Towers A & C, which are yet to be sold. Additionally the Respondent has also constructed a beautiful Amman temple for the benefit of all the occupants. The allegation that 70 percent of amenities are not available is ill-motivated. Over and above, 350 families have occupied the flats which are in complete habitable condition from the month of November, 2019.

26. Regarding Complaint No.7 - failure to return GST ITC to some of the owners, the Respondent has submitted that the Respondent had already sent intimation (email/letters) to the eligible customers in this regard and the process is ongoing.

27. Regarding Complaint 9: Non disclosure of the Respondent in respect of paying maintenance for unsold units since the intimation of delivery of vacant possession, the Respondent has submitted that the CAM charges for the unsold units are being paid by the Respondent and no demand has been made to the Complainant or the individual owners. A balance of fairness amongst all owners is being maintained.

28. Regarding the Complaint No.10 - Illegal occupancy of common areas by the Respondent, the Respondent has submitted that until the handover is done, the maintenance, through the renowned FMS Company, Colliers International, is the responsibility of the Respondent. The said FMS Company has been providing excellent services at international standards. The MMR reports which are filed would go to show the manner in which the maintenance activities are being undertaken.

29. In respect of Complaint 11 - Inconsistencies of provisions with RERA Act, the Respondent has stated that the Respondent has adhered to all the provisions of all the Statutes and the allegations only seem to be imaginations of the Complainant. The Respondent has also stated that the understanding for relating to handing over the corpus fund without interest is a contractual understanding and it is no manner contrary to the provisions of the Act. Similarly the claim that the Promoter should charge only for the carpet area and that the Respondent has breached is also false. The agreements have been made only on the basis of the drafts approved by RERA and the pricing has been done only on the basis of

Carpet area. The documents produced by the Complainant would go to show that area sold has been shown only as carpet area.

30. Regarding Complaint No.12 - Revocation of Power of Attorney (shown as complaint 13 in the Complaint), the Respondent has submitted that the project is done in two phases and the Promoter may have the need to file forms, applications varied plans for the remaining phase/s. The Purchasers in the first Phase having gained ownership on certain proportionate UDS, may have to join in filing such applications, revised plans etc, relating to the second phase alone. The Promoter should have the authority to deal with such a situation. Therefore, this position is explained to the flat buyer and only then the execution and registration of the Power of Attorney has taken place. The Respondent has also stated that while the first phase has reached a stage of completion, the second phase is yet to progress. Therefore the Promoter needs the authority of the flat owners do all such lawful actions that would be required for the purpose of developing phase 2. No action that would prejudice the buyer of a completed Flat will be done by the Promoter and the Power of Attorney cannot be revoked, in the meanwhile. The Allottees need not have any concern over this.

31. Regarding Complaint No.13 (shown as Complaint No.14 in the Complaint) - Unattended rainwater seepage problem into the premises and installation of poor-quality glass walls and windows including the frame in tower ABC, the Respondent has stated that they have not compromised in the quality of glass walls and window panes, including the wall frame

holding the glass. All the window glass and frames have been ensured by ISI quality test by L&T both before and during the construction. The Respondent is in possession of all the quality test certificates. Even at the time of sales the demo/model flat with specifications of the window glass were provided to all the prospective customers. However, during the cyclone water seepage happened in a few flats and the entire team was stationed in the premises itself to attend to the complaints, even from TOA 12, (produced in page numbers 188 to 194), it can be seen that the Complaint of seepage have emanated only from 2 flats out of 498 flats. The customers have been provided with a facility to record their complaints through 'MY GATE' App system and the complaints would be attended immediately. All the records are available for inspection.

32. Similarly application of additional sealant, when found necessary was done by the OEM experts for arresting the seepage. The structures, frames which have been provided are all of good quality and are not fragile. Also more than 350 families are enjoying their happy stay since their respective possession for nearly 2 years. Problems in one or two flats are being attended to immediately.

33. Regarding Complaint No.14 (shown as complaint No.15) - Unattended rainwater flooding of the lift lobby of each floor in Tower-E, the Respondent denies the allegation that there is any unattended rainwater flooding of the lift lobby in Tower-E. On a rare occasion, when rainwater showers came from the way of air ventilation, it was cleaned by

the FMS housekeeping. No water had gone into the flats or has caused any damage to the flats.

34. Regarding Complaint No.15 (shown as complaint No.16) - Building structural issues, the Respondent has submitted that the allegations relating to structural issues are ill-founded. The good quality construction of high rise (27 storied) building has been constructed by L&T as per the sanctioned plan. Necessary structural stability certificate has also been given by IIT Chennai, through its HOD Mr.Meher Prasad. The small leakage complaints have been checked and arrested by concerned water proofing vendors. There is otherwise no leakage of any kind now.

35. In respect of Complaint No.16 (shown as Complaint No.17 in the Complaint) - Unfair parking allocations, the Respondent has stated that the allotment was provided on 'First come First serve' basis. Those who booked earlier were allotted parking slots in Basement-1 and those who booked later were allotted in Basement-2. As such there is no basis for the allegation of favoritism or unreasonableness.

36. Regarding the Complaint No.17 (shown as Complaint No.18 in the Complaint) - No visitors parking in Tower-E and Tower ABC and execution of access gate into the Phase II compound – It has been stated by the Respondent that as per the approved Plan issued by DTCP, there is no provision for visitor parking. Similarly the access to Phase II is only in terms of the approved plan. Phase I and Phase II are one whole gated community.

37. Regarding the Complaint No.18 (shown as Complaint No.19 in the Complaint) - No GST reduction from 18% to 12% for Allottees of EWS (Tower E) as per notification MOHUA 2018, the Respondent has denied this allegation.

38. In the Rejoinder filed by the Complainant Association, it has been submitted that the Complainant Association has been duly registered with the Registrar of Societies and the Registration Certificate is enclosed in the additional typed set. The Resolution to raise the dispute against the Respondent was passed with a high majority in a properly convened Extraordinary General Meeting (EGM) which took place on 31.01.2021. Also the Association is nothing but the representation of owners and has been vested such power and authorities to act on behalf of the residents of Emami Tejomaya.

39. Regarding the delayed delivery of vacant possession by the Respondent, the Complainant Association has stated that the Respondent handed over:

Tower-E – 1st to 9th Floor	-	March 2019
Tower-E – 10th & 11th Floor	-	June, 2019
Tower-A,B & C	-	November, 2019

40. However, the Respondent had agreed in Clause-4(a) of the Construction Agreement, to handover the various flats within 5 months with a grace period of 3 months from the date of the original Agreements which fell on various dates in the years 2018 and 2019. There was no "force majeure" event during the said period or if there is any, nothing was

communicated to the home buyers at any point of time. The Covid pandemic lockdown began only in March, 2020. The Respondent has not denied the delay and therefore, admitted that there was some period of delay but stated that the Respondent is not liable for the same. This is a clear case of violation of the said Act.

41. The Complainant has also submitted that there is nowhere specified in the Agreement for Sale or Agreement for Construction or invoices that Rs.2 per sq.ft. collected towards maintenance was an estimate. However, Clause-6(a)(b)(f) of the Construction Agreement entered between the home buyers and the Respondent states that the Promoter shall provide essential services at reasonable cost by themselves or through any other agency; that the Association has authority to execute independent maintenance agreement with the promoter if they are happy with the service provided at Rs.2/- per sq.ft. and continue to deduct from the maintenance advance collective; that the promoter shall render proper accounts to the association with respect to spending from advance maintenance charges. The Complainant has further submitted that undertaking signed by more than 50 owners, e-mail sent by several owners to the Respondent for handing over of maintenance to Association and other supportive documents have been filed have been filed by the Complainant along with the additional typed set.

42. Regarding refusal to handover the maintenance of common areas, the Complainant has submitted that the due to fact that the common areas are still maintained by the Respondent, home buyers and flat owners are incurring Rs.276,000.00 additional amount per month as

GST on CAM charges, which would not be applicable when charges through Association.

43. In respect of promised amenities either not ready or missing, the Complainant has submitted that as per brochure Indoor sports arena and Gym are two different entities. However, the Respondent has tried to present as though both are same. Also the Complainant has stated that it is very clear that the Respondent has not provided the amenities as promised by them which is a clear case of violation of the provisions of RERA Act.

44. Regarding failure to return GST ITC to some of the owners by the Respondent, the Complainant has stated that as it is, there is already a delay of 2 years to give GST ITC by the Respondent. Therefore, the same has to be returned with interest.

45. The Complainant Association has also submitted regarding unattended rainwater seepage by the Respondent that the issue of rain water seepage was in around 112 flats rather than only 2 flats as claimed and the Complaint with regard to the same was registered in 'MyGate App'. The details relating to the said complaint has been filed with the typed set. This issue is continuance in nature and life threatening risk/security issue, which has not been fully addressed. Also the Complainant has submitted that the photographic evidence has been provided for the flooding, which have been filed along with the typed set. This issue is continuance in nature and life threatening risk/security issue, which has not been fully addressed.

46. Regarding GST reduction from 12% to 8% for Allottees of EWS Tower, the Complainant has stated that as per the Ministry of Finance Clarification published by Government of India on 07.05.2018, for the purpose of affordable housing, GST to be reduced from 12% to 8% for Economically Weaker Section, Lower Income Group, Middle Income Group under CLSS Scheme. But the Respondent has charged 12% GST to Allottees of EWS (Tower-E) instead of 8% which is in gross violation of the said clarification of Ministry of Finance.

47. In the Additional Counter Affidavit, the Respondent has submitted that in so far as the complaint relating to alleged failure to obtain Environmental Clearance Certificate for two Upper floors of Tower-E, the Respondent categorically denies that it has failed in obtaining Environmental Clearance. The Complainant Association themselves admit the fact about fact relating to the Promoter getting the Environmental clearance. However, the changed circumstances warranting further clearance is being questioned by the Association. Therefore the Respondent is furnishing the following details relating to the same:

i. The project envisaged construction of 4 number of residential towers (A,B,C & D) and one Tower for EWS (Economically Weaker Section) with the following configuration:

   Tower A – 3 Basements + Ground floor + 28 floors – with 104 dwelling units.

   Tower B – 3 Basements + Ground floor + 28 floors – with 102 dwelling units.

Tower C – 3 Basements + Ground floor + 28 floors – with 104 dwelling units.

Tower D – 2 Basements + Ground floor + 50 floors – with 239 dwelling units.

E.W.S.Tower – Ground floor + 9 floors – with 138 dwelling units.

ii. The collective built-up area of the project was 118824.00 sq.mt., covered under Schedule 8 (a) of the Environment Impact Assessment Notification, 2006, which required prior Environmental Clearance. The Promoter applied for Environmental Clearance and based on the appraisal of the Application (Form-1A) and Conceptual Plan by the SEAC (State Expert Appraisal Committee) and its recommendation, Environmental Clearance was granted on 27.06.2013 for the above residential project. The planning permit was obtained from the Mamallapuram Planning Authority, Chengalpattu for the construction, vide its proceedings dated 09.01.2013.

iii. The construction work was commenced in the site in September 2015. During October 2015, the Promoter applied for revising the plan for modification in the construction of A,B,C,D & EWS Towers. Approval was given for the revised plan by the Planning Authority, vide proceedings dated 02.09.2016.

iv. The modification in the construction in A,B,C & EWS Towers during 2016-17 resulted in lesser area of construction by 690.21 sq.mt, than the area permitted in the Environmental Clearance dated 27.06.2013,

secured by the Promoter. Further the construction of Tower-D was not done till date.

v. Construction of A,B,C and EWS Towers were completed in September and December 2017, respectively at a total cost of Rs.240 crores. The Promoter secured consent to establish the Sewage Treatment Plant from the Tamil Nadu Pollution Control Board on 07.04.2016 and installed STP of 500 KLD. Organic Waste Converter was installed for disposal of the solid waste collected from the occupants, and green belt was developed including the O.S.R. Area and Rainwater harvesting and recharge pits were also put up.

vi. The Promoter obtained the certificate on compliance on the Environmental Clearance on 06.03.2019. All the 498 flats in A,B,C, & EWS Towers and the dwelling units are in occupation now.

vii. During January, 2020, it was decided to take up further development in the site including construction of Tower D. After getting the revised plan on 02.09.2016, the amendment in Environmental Clearance for the modification done in the A,B,C and EWS Towers, has not been obtained. The Promoter has its Head Office at Kolkata and the follow up action was done by the local registered office at Chennai, as advised by the consultant namely, Ecotech Lab Private Limited in Chennai and the omission to get the amendment in the EC for the modification was an inadvertent mistake and wholly unintentional.

viii. Immediately, as advised by the consultant, the application for amendment was submitted on 12.05.2020 in the Environmental Clearance for the modification done in A,B & C and EWS Towers, during 2016 & 2017, stating that the modification in A,B,C & EWS Towers was done without getting the amendment in the Environmental Clearance. The said petition was placed before the State Expert Appraisal Committee on 07.11.2020.

ix. The State Expert Appraisal Committee, while recording that the Promoter did not put-up construction of Tower D, has stated that the modification has been carried out, in the construction in A,B,C & EWS Towers and that the application for amendment is submitted in the Environmental Clearance dated 27.06.2013 was after completion of construction.

x. The Committee has further stated that the application seeking amendment in the E.C. for the modification in A,B,C and EWS Towers, cannot be considered under Notification dated 14.03.2017 and 08.03.2018, issued by the Ministry of the Environment & Forest for condoning the violation, as the time mentioned in the said Notifications was over. Based on the above observation issued a show cause notice dated 16.12.2020.

48. The Respondent has further submitted that as such there is no increase in pollution load due to the modification in A,B,C & EWS Towers and hence, the principle followed in the above Notifications that existing projects having prior Environmental Clearance with no increase in pollution load, are exempted from getting Environmental Clearance for any change

(modification), deserves to apply to the project of construction of residential apartments. Hence the application was submitted on 12.05.2020 for amendment to the Committee. The Respondent has further submitted that the Promoter has approached the Hon'ble Court by filing a writ petition in W.P.No.16059 of 2021 and the same is pending consideration. The Promoter has been advised that there is a fair chance of the Hon'ble High Court considering the matter favourably by taking into account all the above factors.

49. In the Additional Affidavit, the Respondent has submitted regarding the demand of the difference of the actual CAM charges that while the Complainant herein represented that the Respondent has issued Demand letters, calling upon them to pay the increased charges, the Complainant has deliberately suppressed the fact that the charges were already adjusted from the corpus fund. The Demand Letters which are issued on the dates 01.07.2021 and 15.07.2021, to various flat owners, have mentioned that the charges would be adjusted if they are not paid within 10 days and done as well. Therefore the adjustments were already made, prior to the hearing date. Though the Complainant had orally referred to the said letters, they had deliberately not chosen to file them before this Authority, which would have made it clear that the charges were already adjusted and that an interim order would not have been necessary when the Complaint is about to reach its finality.

50. In respect of allegations made by the Complainant regarding the increase in CAM charges from Rs.2/-per sq.ft. to Rs.2.85/- per sq.ft., the

Respondent has submitted that the Respondent had not represented at any point in time that the common maintenance charges would be a fixed sum of Rs.2/-per sq.ft. for a period of 24 months. On the other hand an advance deposit, calculated at the above rate alone has been collected as a matter of convenience. None of the documents executed by the Respondent have also mentioned that the said sum of Rs.2/-per sq.ft. is a fixed sum. Also the Respondent has submitted that forecasting the actual cost of maintenance, for a long period of 2 years is impossible. The cost of diesel, inflation/ escalation, taxes, price hikes, hike in minimum wages etc., are all unpredictable. Further in the maintenance of such high rise buildings (27 floors + 2 Basements), so many variables/dynamic costs are involved. Therefore only an advance deposit was taken initially and there was no promise or commitment given by the Respondent on the fixed nature of the CAM charges for a period of 2 years. Many of the flat purchasers have also inspected the records and realized/accepted the increase in CAM charges was appropriate and has been paying the increased CAM charges.

51. The Respondent has further submitted that the entire maintenance is being undertaken by a reputed company known as 'Colliers International' which is very experienced in the field. There are nearly 350 families which are staying in the complex and are enjoying their stay for over two years. The STP, WTP, housekeeping, security service, pest control, Electrical power, Power back up, Lifts are all in excellent conditions. All the above are well maintained by the renowned service providing company. The water quality parameters are also checked

periodically. Therefore, the demand for the remaining portion of the CAM charges, after adjusting the advance deposit amount is appropriate.

52. Regarding handing over of maintenance of common area, the Respondent has submitted that while the Association wants handing over, it does not want to take up the responsibility of collection of outstanding maintenance dues and wants the Respondent Promoter to take up the said issue with the individual flat owner. Such a contradictory stand cannot be taken by the Association, which only a collective body of all the owners. The Respondent has also stated that though the Respondent Promoter is duty bound to handover the common area maintenance to the Association, the Association has not expressed its readiness and willingness to accept the responsibility in any manner, after sorting out the issue of outstanding dues. It is an apartment complex consisting of 350 families and could not handover such a responsible task to the Association which was not showing any inclination to take up the task. The Association has also not come forward to take over the CAM on their own, after settling the existing outstanding dues. Therefore, the Respondent has been made to continue with taking up the maintenance responsibility and is not able to adjust the accruing dues from the corpus fund on account of the interim order. The Respondent has further submitted that unless it is brought to the knowledge of the Authority about the adjustment which had already been done, it will be construed a violation. Further continuing to provide maintenance services, without raising the necessary bills also is not possible.

53. In the written submission of arguments, the Complainant Association has stated that it is false and baseless to state that certain office bearers alone have joined together and filed the Complaint as the decision to file the same was taken in an Extraordinary General Meeting (EGM) of the RWA through online which was held on 31.01.2021. Minutes book about the same is found at page No.52 to 57 of the Additional typeset filed by the Complainant. The notice for collection of funds for appointing a Lawyer (page No.58 to 65 of the Additional typeset filed by the Complainant) will clearly show that it is a collective effort of members of RWA. Moreover, the detailed statement of the payment made by the individual flat buyers for engaging a Lawyer (page No.59 to 65 of the Additional typeset filed by the Complainant) proves without any reasonable doubt that the complaint against the Respondent was a collective action.

54. The Complainant Association has also submitted that Clause 16(ii) (i) of the Bye-laws clearly states that the Secretary along with the President can represent the Association in all proceedings. Therefore, the plea of the Respondent cannot be considered as President has also been entrusted with the power to represent the proceedings before this Authority. The Complainant has also stated that Clause 17(iii)(g) of the Bye-laws clearly stipulates the following:

> "Quorum at an Extraordinary General Meeting shall be a minimum of 2/3rd of the total members or their duly authorized proxy eligible to vote or in the absence of the minimum quorum, the meeting shall be adjourned and shall

be held at the same venue after 30 minutes on the same day without further adjournment" and those present will constitute the quorum.

55. From the above said Clause, it is clear that the EGM can be conducted, and the decision can be taken even in the absence of 2/3rd of total members of the Association provided the meeting is adjourned for 30 minutes and resumed with those present as a quorum. Therefore, the Complainant has submitted that the present Complaint filed before this Authority is maintainable and/or lawful.

56. The Complainant Association has further submitted that as per Clause (6) (C) of the Construction Agreement (page No.45 of the First Typed set of papers of the Complainant) the Respondent cannot touch the corpus fund without the consent of the RWA of the buyers. While so the action of the Respondent from deducting the CAM charges from the Corpus Fund is in breach of the terms of the Construction Agreement.

57. Regarding refusal to provide handover by the Respondent, the Complainant has stated that the obligation is cast on the Respondent to handover the task of maintenance of the Project to the Complainant. Rule 10 of the RERA Rules clearly stipulates that once the Association is duly registered it shall take over the maintenance of the project including the common areas and amenities provided in the project within 3 months from the date of intimation by the Promoter upon completion of the project. But the Respondent not only failed to come forward to help the

buyers in formation of the Association but also has failed to handover the maintenance of the project to the Complainant despite several requests and mails despite registration of the Association in October 2020. This is a major violation of the provisions of RERA Act.

58. Therefore, the Complainant has prayed this Authority to fix a time frame for the Respondent to handover the maintenance of the project of the Respondent to the Complainant Association. Also the Complainant Association has stated that the following amenities are not ready:

- Infinity Pool and kids Pool on podium Level
- Steam and Sauna
- Jacuzzi
- Children's wet play area
- Children's Play area
- 3 Tiers Security (inadequate CCTV cameras especially not available in any lift)
- Adequate Firefighting and prevention systems

Missing amenities :

- Sports Arena for indoor games
- Gate at tower E entrance towards OMR
- Gate at the end of Tower C
- ATM
- Convenience retail stores (Respondent is trying to sell this place to third party)

59. In the written submission of arguments, the Respondent has submitted that the Complainant is a registered Society and can function

and operate only as provided under the Bye-laws of the Society. Any action done contrary to or in violation of the Bylaws is non-est and cannot be

- The Byelaws of the Society (Page No.26 of the Additional typed set of Complainant) Clause ii(i) has provided that only the Secretary and Joint Secretary can represent the Association in all proceedings and sign all petitions etc. In the instant case the entire pleadings have been verified by the President alone, who is not empowered by the Bye-laws in this regard. As such the Complaint has been filed by a person who has no authority and the same cannot be looked into.
- The Bye-laws of the Society (Page No.29 of the Additional Typed set of Complainant) – Clause iii(g) has provided that the quorum at an Extraordinary General Meeting shall be a minimum of two third 2/3rd) of the total members.
- But from the Minutes Book (Page No.52 of the Additional Typed set of Complainant) it is seen that the quorum of 86 members have been shown as the required numbers. If 86 is to be treated as 2/3rd then the total members will be only 129. In the instant case, even according to the members list filed along with the Complaint the number of members is 500. Therefore, the very meeting conducted without the necessary quorum and the

resolutions passed therein cannot be the basis and right for filing the complaint.

- This legal issue goes to the very root of the matter and the defective complaint is liable to be rejected on this score alone. A judicial Forum cannot entertain such a defective complaint.
- The Complainant has prayed for certain declaratory reliefs, which can be granted only by a competent Civil Court. RERA is not a Civil Court.

60. Regarding the prayer to declare that the Respondent had delivered vacant possession of Tower-E and Towers ABC belatedly, the Respondent has submitted that even assuming, but not admitting, there is a delay, it would differ from one Allottee to another. The Association cannot ask before the Authority and only the individual Allottee can ask the same before the Adjudicating officer with sufficient proof.

61. This Authority has examined the Complaint, the Counter Affidavit, the Additional Counter Affidavit and the Additional Affidavit filed by the Respondent Promoter and the arguments and the written submission of arguments of both sides carefully.

62. During the arguments, the Respondent Promoter has raised the issue of maintainability of the Complaint on the ground that the President of the Complainant Association has filed the Complaint which is not in the bye-laws of the Association. The Respondent Promoter has also referred to the issue of quorum for the Extraordinary General Meeting in this regard.

63. In the written submission of arguments, the Complainants have submitted that the decision to file a Complaint was taken in an Extraordinary General Meeting of the Complainant Association through online which was held on 31.01.2021. The Complainant Association have also referred to the minutes of the meeting (page No.52 to 57 of the Additional typeset filed by the Complainant).

64. The Complainant Association has also submitted that Clause 16(ii)(i) of the Bye-laws clearly states that the Secretary along with the President can represent the Association in all proceedings. The Complainant Association has also cited Clause-17(iii)(g) of the Bye-laws which stipulates the quorum.

65. It is seen that on page No.54 of the Additional typed set of papers filed by the Complainant Association, the Extraordinary General Meeting of the Complainant Association has passed a Resolution to proceed with RERA Complaint vide Agenda No.4. This has been done after adjourning the meeting for 30 minutes for want of quorum and then continued the meeting with available members (86 Allottees).

66. Therefore, this Authority holds that this Complaint is maintainable.

67. The Complainant Association has taken the stand that the Respondent Promoter can collect only a fixed charge of Rs.2/- per sq.ft. for maintenance of common area for a period of 2 years. The Complainant Association has also referred to the Allotment letter which refers to advance Maintenance Deposit of Rs.2/- per sq.ft. for 24 months.

68. The Respondent Promoter has submitted that the Respondent Promoter has not represented at any point of time that the common maintenance charges would be a fixed sum of Rs.2/- per sq.ft. for a period of 24 months and what was collected was only an advance amount of deposit.

69. This Authority has examined this issue with reference to the Allotment letter issued to the Allottee Thiru Baskaran Manikam (page No.133 of typed set of papers filed with the Complaint). This refers to the Advance Maintenance Deposit of Rs.2/- per sq.ft. for 24 months. The registered Construction Agreement executed by the Respondent Promoter with this Allottee clearly states under Clause-6 under heading "maintenance of common areas and amenities in the project" that - the Promoter shall provide essential maintenance services to the common areas/amenities/facilities from the date of completion of the project at **reasonable price (emphasis supplied)** by themselves or through any other Agency appointed by the Promoter.

70. Therefore, this Authority holds that the contention of the Complainant Association is not correct and the Allottees have to pay the maintenance charges which have been claimed by the Respondent Promoter.

71. Regarding delayed handing over possession of the apartment allotted to various Allottees, this Authority holds that the individual Allottee can claim interest on delayed construction, if any, by filing Complaint before the Single Member Bench of this Authority.

72. This Authority notes that the maintenance of common areas has not been handed over by the Respondent Promoter to the Association of Allottees even though the possession of the apartment has been handed over to the Allottees by letter of intimation dated 15.11.2019 as stated by the Complainant Association. As per the Rule 10 of the Tamil Nadu Real Estate (Regulation and Development) Rules, 2017, the maintenance of common areas should have been handed over within 3 months from the date of intimation of completion of the project.

73. It is seen that the maintenance of common areas has not been handed over to the Complainant Association at the time of filing of this Complaint by the Complainant Association.

74. Therefore, this Authority directs the Respondent Promoter to handover the maintenance of common areas to the Association of Allottees along with relevant documents as per Section 17 of the Act before 30.06.2022, if not done already.

75. The Respondent Promoter shall not link the handing over of the maintenance of common areas to the maintenance dues from the individual Allottees. The Respondent Promoter shall independently take action to collect the maintenance dues from the individual Allottees.

76. After taking over of maintenance of common areas by the Association of Allottees, the Respondent Promoter shall pay the maintenance charges to the Association of Allottees in respect of the unsold units till the units are sold and handed over to the Allottees.

77. The Authority also directs the Respondent Promoter not to occupy any part of the common areas which is vested with the Association

of Allottees from the date of handing over of maintenance of Common areas to the Association of Allottees.

78. Also the Respondent Promoter shall not adjust the dues against the corpus fund since the corpus fund is earmarked for capital expenditure only. Any capital expenditure for providing additional amenities shall be met out by the Respondent Promoter that too with the consent of the Association of Allottee as per Clause-6(c) of the Construction Agreement.

79. The Respondent Promoter shall also handover the corpus fund collected from the allottees to the Association of Allottees before 30.06.2022.

80. The Respondent Promoter shall also pay the interest earned on the Corpus fund, if any, to the Association of Allottees.

81. Regarding common amenities promised to the Allottees in the Brochure issued by the Respondent Promoter, this Authority does not accept the contention of the Respondent Promoter that the reference made to the Brochure is only an artistic representation of the project and cannot be made as pointer for non availing.

82. This Authority draws attention of the Respondent Promoter to Section-12 of the Act regarding obligations of the Promoter regarding veracity of the advertisement or prospectus.

83. Page No.177 of the typed set of papers filed by the Complainant along with Complaint refers to the list of amenities and facilities and also page No.100 of the typed set of papers filed by the Complainant refers to the details of common amenities promised by the Respondent Promoter in

the registered Construction Agreement executed with Thiru Baskaran Manikam on 02.07.2019.

84. Therefore, the Respondent Promoter is directed to ensure that all the common amenities as promised in the Brochure and in the registered Construction Agreement shall be completed in all respects before 30.06.2022, if not done already.

85. Regarding return of GST and ITC, the Respondent Promoter shall do so before 31.07.2022 to the eligible customers without fail.

86. Regarding amendment to the Environmental Clearance, this Authority refrains from giving any direction as the matter is sub-judice vide W.P.No.16059 of 2021 in the Hon'ble High Court of Madras filed by the Respondent Promoter.

87. This Authority accepts the submission of the Respondent Promoter that the pricing has been done only on the basis of carpet area, as this submission is reflected in the Construction Agreement.

88. This Authority also accepts the submissions made by the Respondent Promoter regarding the Power of Attorney given by various Allottees to enable the Respondent promoter to get various clearances for the Phase-II of the project and records the undertaking given by the Promoter that no action that would prejudice the buyer of the completed project will be done by the Promoter in the meanwhile.

89. Regarding rain water seepage issue, this Authority notes the action taken by the Respondent Promoter in this regard. At the same time, the Allottees are at liberty to bring to the notice of the Respondent Promoter any structural defects or any other defect in workmanship,

quality or provision of services or any other obligations of the promoter as per the agreement for sale as per Section 14(3) of the Act and the Respondent Promoter shall comply with the provisions of Section 14(3) of the Act.

90. Regarding parking of vehicle, this Authority directs the Respondent Promoter to provide to the Complainant Association with parking allocation list before 31.07.2022.

91. Regarding visitors parking, the Respondent Promoter shall strictly provide the same as per the plan approved by DTCP for Phase-I & II as an integrated gated community.

92. Regarding charging of GST at reduced rate of 8% to the eligible customers in the category in Tower-E, this Authority directs the Respondent promoter to charge the actual GST paid by the Respondent Promoter to the GST Authorities. If there is any such concession, the Respondent Promoter shall avail the same from the competent Authority and pass on the same to the Allottees.

93. With the above findings and directions, this Complaint is disposed of.

Sd/-...27.04.2022	Sd/-...27.04.2022	Sd/-...27.04.2022
MEMBER (M), TNRERA	MEMBER (J), TNRERA	CHAIRPERSON, TNRERA

/TRUE COPY/FORWARDED/BY ORDER

27/4/22

ADMINISTRATIVE OFFICER

27.4.2022